

Budget Planning in Microsoft Dynamics 365 F&O

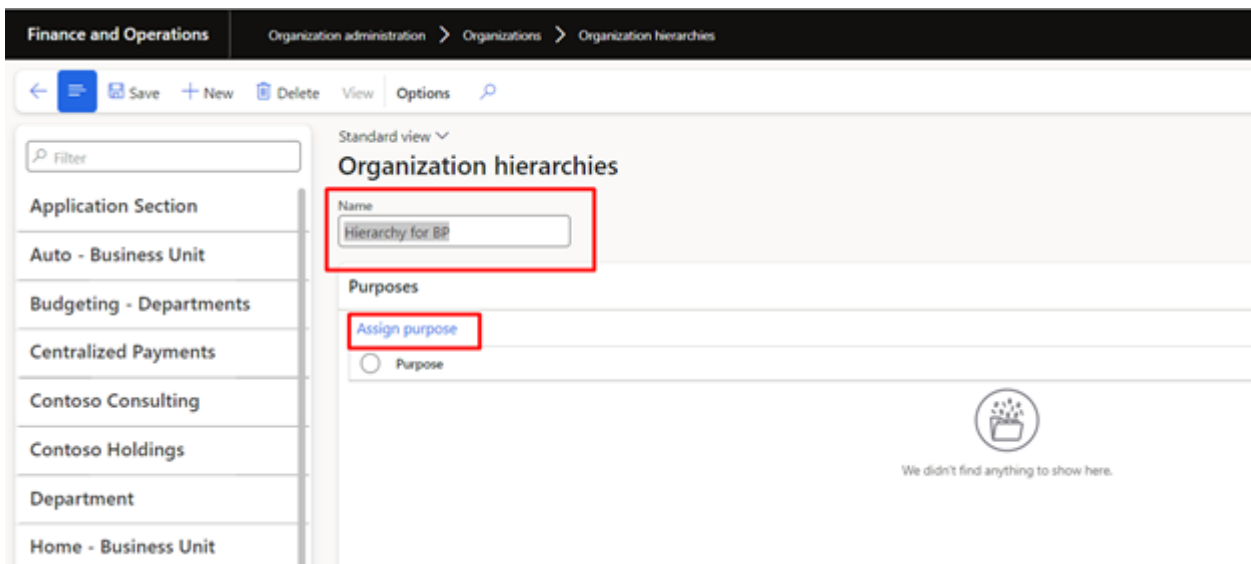
Introduction:

Budget Planning in Dynamics 365 Finance and Operations (D365 F&O) enables organizations to define and manage their policies, procedures, and requirements for preparing budgets. Traditionally, companies draft and approve budgets manually before posting them into an ERP system. However, D365 F&O streamlines this process by supporting all pre-posting activities—such as planning, drafting, requesting, and approving budgets—directly within the application. In this blog, we'll explore how budget planning can be executed effectively in D365 F&O.

Pre-requisite: Setting up Organization Hierarchy

To begin budget planning in D365 F&O, the first step is to establish your organization hierarchy.

Navigate to: **Organization Administration** → **Organizations** → **Organization Hierarchy** → **New**. Here, provide a name for the hierarchy and assign its purpose to align with your planning needs.



The screenshot shows the 'New Organization Hierarchy' form in Dynamics 365 F&O. The form is titled 'Organization hierarchies' and has a 'Name' field containing 'Hierarchy for BP' and a 'Purposes' section with an 'Assign purpose' button. The left sidebar shows the navigation menu with 'Home - Business Unit' selected.

Assign the hierarchy to system's default purposes of Security and Budget Planning

Finance and Operations | Organization administration > Organizations > Organization hierarchies

Standard view ▾
Organization hierarchy purposes

Purposes
Security

Assigned hierarchies

+ Add Remove ✓ Set as default 🔍 View hierarchy

Default	Assigned hierarchies
	Budgeting - Departments
	MCSD BP
✓	MCSD Organizational Hierarchy
	uat test
	Hierarchy for BP

Then go back and select the Organization Hierarchy and click view and design the hierarchy

Finance and Operations | Organization administration > Organizations > Organization hierarchies

Standard view ▾
Organization hierarchies

Name
Hierarchy for BP

Purposes

Assign purpose

☐ Purpose

☒ Security

Budget planning

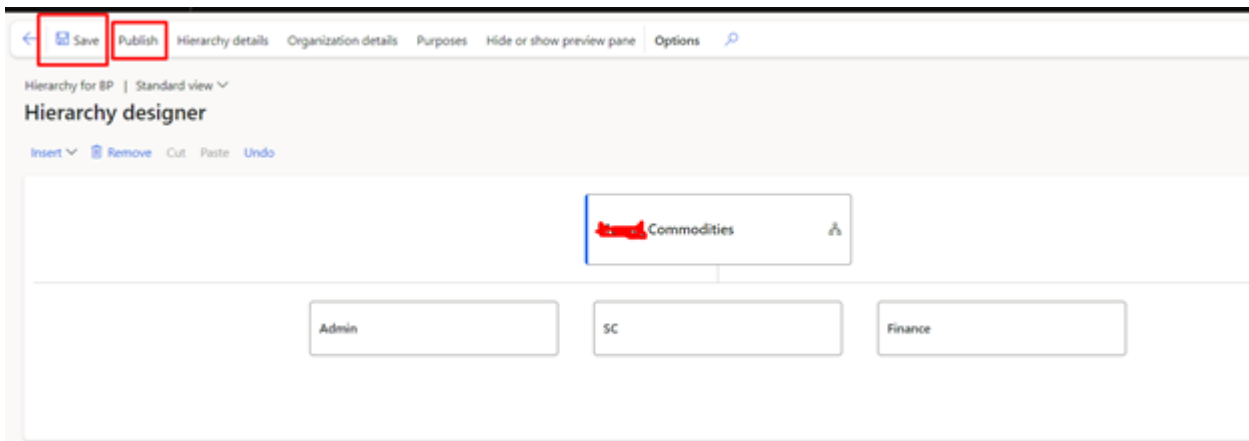
Allowed organization types

Department

Cost center

Value stream

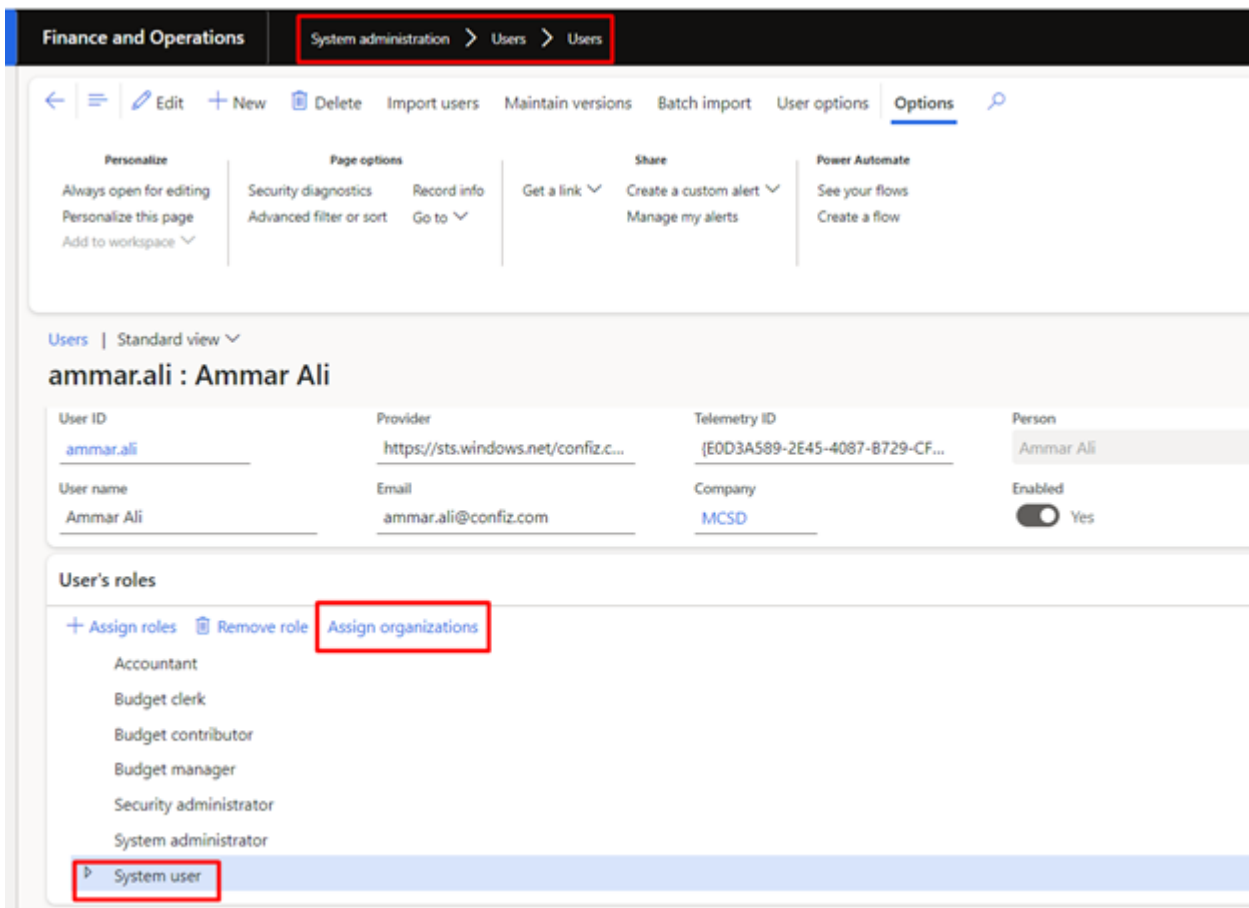
Here I have designed the Hierarchy. Afterwards click save and then Publish.



Assigning Organization to a User

Once the hierarchy is in place, the next step is to link it to the right users.

Navigate to: **System Administration** → **Users** → **Users**. Select the relevant user, choose the appropriate system role, and then click **Assign Organization** to complete the setup.



Granting Access to Organization Hierarchy After assigning the organization, you'll need to grant user access. Choose **Grant access to specific organization individually**, then select the relevant hierarchy. From there, pick each organization node one by one and provide access. You can either grant access to the selected node alone or use **Grant with children** to include all subordinate nodes automatically.

Finance and Operations | System administration > Users > Users

Standard view ▾

Organizations for the user ammar.ali in role System user

SELECT THE ORGANIZATIONS FOR THIS USER AND ROLE

Access to organizations

☐ Grant access to all organizations

☒ Grant access to specific organizations individually

Select organization hierarchy

Hierarchy for BP ▾

Available organization nodes:

- ▲ Morouj Commodities Ltd
 - Finance
 - IT Department
 - Production
 - SCM
 - Admin

Grant with children Grant Revoke

1. Budget Planning Configuration:

Go to Budgeting> Setup> Budget Planning> Budget Planning Configuration

Parameters: These define the security rules that you want to apply to budget plans and the default financial dimensions that should be used when users drill into the amounts in budget plan scenarios

Finance and Operations | Budgeting > Setup > Budget planning > Budget planning configuration

Standard view ▾

Budget planning configuration

Parameters

Select the security rules to be applied to budget plans. Select the financial dimension set to be used when drilling into the scenario amounts from the Budget planning process status form.

Security model: Based on security organizations ▾

Allow access to budget plans by user: ☒ Yes

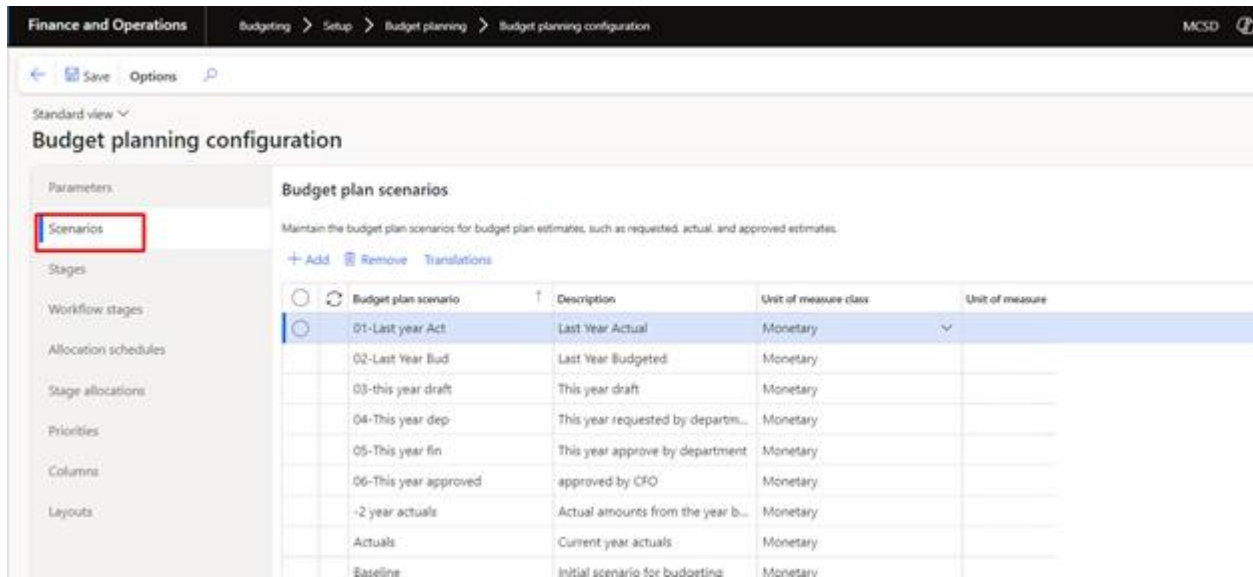
Default financial dimension set: BUDGET PLANNING ▾

Do not convert currency in aggregation: ☐ No

BUDGET PLAN GENERATION

Prevent replacement of budget plan s...: ☐ No

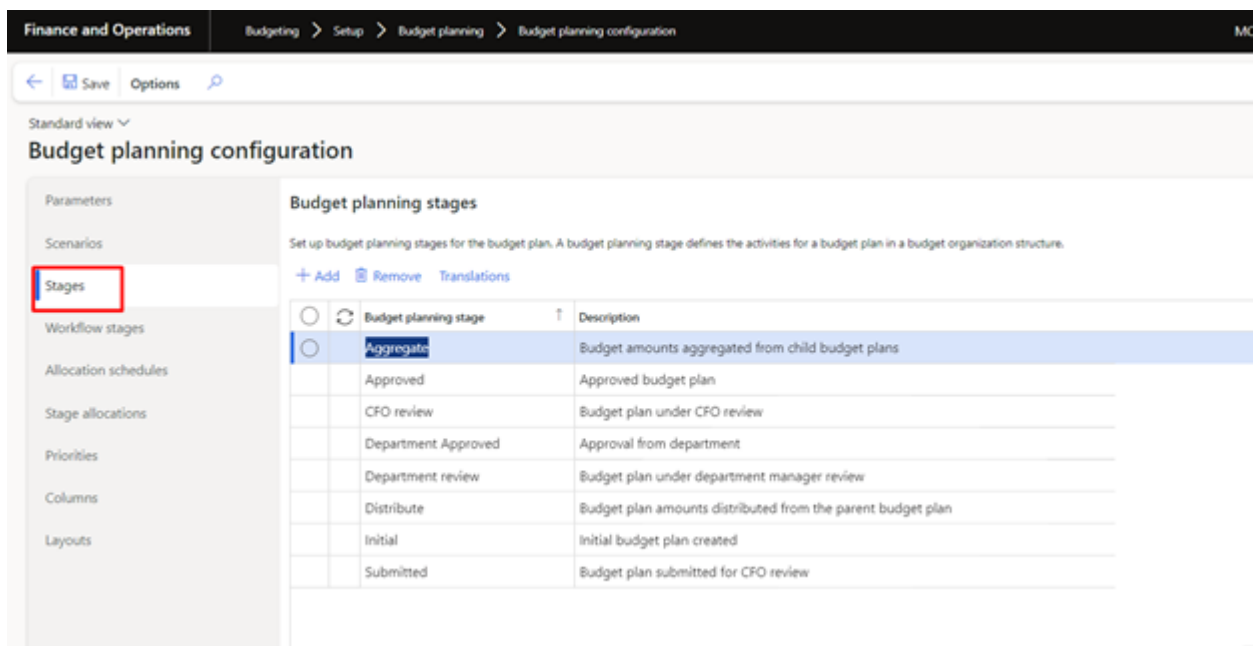
Scenarios: Budget scenarios are defined to hold typically monetary information in various buckets. For example, Last year/quarter Actual or Budgeted Amounts



The screenshot shows the 'Budget plan scenarios' configuration page in D365 Finance and Operations. The left sidebar has 'Scenarios' highlighted. The main area shows a table of budget plan scenarios.

Budget plan scenario	Description	Unit of measure class	Unit of measure
01-Last year Act	Last Year Actual	Monetary	
02-Last Year Bud	Last Year Budgeted	Monetary	
03-this year draft	This year draft	Monetary	
04-This year dep	This year requested by departm...	Monetary	
05-This year fin	This year approve by department	Monetary	
06-This year approved	approved by CFO	Monetary	
+2 year actuals	Actual amounts from the year b...	Monetary	
Actuals	Current year actuals	Monetary	
Baseline	Initial scenario for budotetina	Monetary	

Stages: These define the steps that a budget plan follows from its beginning to final approval



The screenshot shows the 'Budget planning stages' configuration page in D365 Finance and Operations. The left sidebar has 'Stages' highlighted. The main area shows a table of budget planning stages.

Budget planning stage	Description
Aggregate	Budget amounts aggregated from child budget plans
Approved	Approved budget plan
CFO review	Budget plan under CFO review
Department Approved	Approval from department
Department review	Budget plan under department manager review
Distribute	Budget plan amounts distributed from the parent budget plan
Initial	Initial budget plan created
Submitted	Budget plan submitted for CFO review

Workflow Stages in Budget Planning In D365 F&O, workflows can be defined stage by stage, allowing flexibility in how approvals are managed. A single workflow can be triggered at multiple points in the process. For example, you might configure a workflow to activate both at the **Initial** stage and again at the **Submitted** stage, ensuring proper review and control throughout the budgeting cycle.

The screenshot shows the 'Budget planning configuration' page in Dynamics 365 Finance and Operations. The left sidebar contains a navigation menu with options: Parameters, Scenarios, Stages, Workflow stages (selected), Allocation schedules, Stage allocations, Priorities, Columns, and Layouts. The main content area is titled 'Budget planning workflow stages' and includes instructions: 'Select the stages for each of the budget planning workflows.' Below this, there are three main sections: 'Budget planning workflow', 'REMAINING PLANNING STAGES', and 'SELECTED PLANNING STAGES'. The 'Budget planning workflow' section has a dropdown for 'Auto-Approve' and a 'Workflow ID' field set to '000154'. The 'REMAINING PLANNING STAGES' section lists 'Aggregate' and 'Approved'. The 'SELECTED PLANNING STAGES' section, highlighted with a red box, lists 'Initial' and 'Submitted'.

Allocation Schedules in Budget Planning Think of allocation schedules as the rules that determine how a parent budget distributes its information to child budgets during the workflow process. This is especially useful when child budgets follow different layouts. In simple terms, it defines *how the parent budget flows down into each child budget*

The screenshot shows the 'Budget planning configuration' page in Dynamics 365 Finance and Operations, specifically the 'Budget planning allocation schedules' section. The left sidebar is the same as the previous screenshot, but 'Allocation schedules' is selected. The main content area is titled 'Budget planning allocation schedules' and includes instructions: 'Define the allocation schedules that will be used during workflow processing. The allocation schedules will populate the budget planning scenarios based on the e'. Below this, there are two main sections: 'Filter' and 'Allocation schedule'. The 'Filter' section has a dropdown menu with 'Aggregate', 'MCSD', 'CFO REVIEW', 'MCSD', 'Aggregate', 'DISTRIBUTION', 'MCSD', and 'Distribute'. The 'Allocation schedule' section has a dropdown menu with 'Aggregate'. Below this, there are several fields: 'Ledger' (MCSD), 'ALLOCATION' (Allocation method: Aggregate), 'SOURCE' (Source scenario: 03-this year draft), 'DESTINATION' (Destination scenario: 04-This year dep), and 'Multiply by' (1.00).

Stage Allocation: Here stages and Allocation schedules are combined with Stages to trigger execution from budget plan workflow.

Finance and Operations | Budgeting > Setup > Budget planning > Budget planning configuration

Standard view ▾

Budget planning configuration

Parameters
Scenarios
Stages
Workflow stages
Allocation schedules
Stage allocations
Priorities
Columns
Layouts

Budget planning stage allocations

Create stage allocations to perform budget planning allocations during a stage of a budget planning process.

+ Add Remove ↑ Move up ↓ Move down

	Budget planning workflow and stage	Allocation schedule
☐	Opex top-level Initial ▾	MF Distribute Baseline ▾
	Opex top-level Initial	MF Distribute Requested
	Opex top-level Aggregate	MF Aggregate Requested
	Opex top-level Aggregate	MF Aggregate Approved
	Total ... Initial	DISTRIBUTION
	Total ... Aggregate	Aggregate

Columns: Here we define time period for the scenarios and then these columns are used in Layouts

Finance and Operations | Budgeting > Setup > Budget planning > Budget planning configuration MCSO

Standard view ▾

Budget planning configuration

Parameters
Scenarios
Stages
Workflow stages
Allocation schedules
Stage allocations
Priorities
Columns
Layouts

Budget plan columns

Set up columns to be used in the budget plan layout.

Filter

+ Add Remove Copy Translations

Actuals to date
Actuals
All
Approved budget
Department approved
All
Approved budget Q1
Department approved
Quarter
Approved budget Q2
Department approved
Quarter

Column

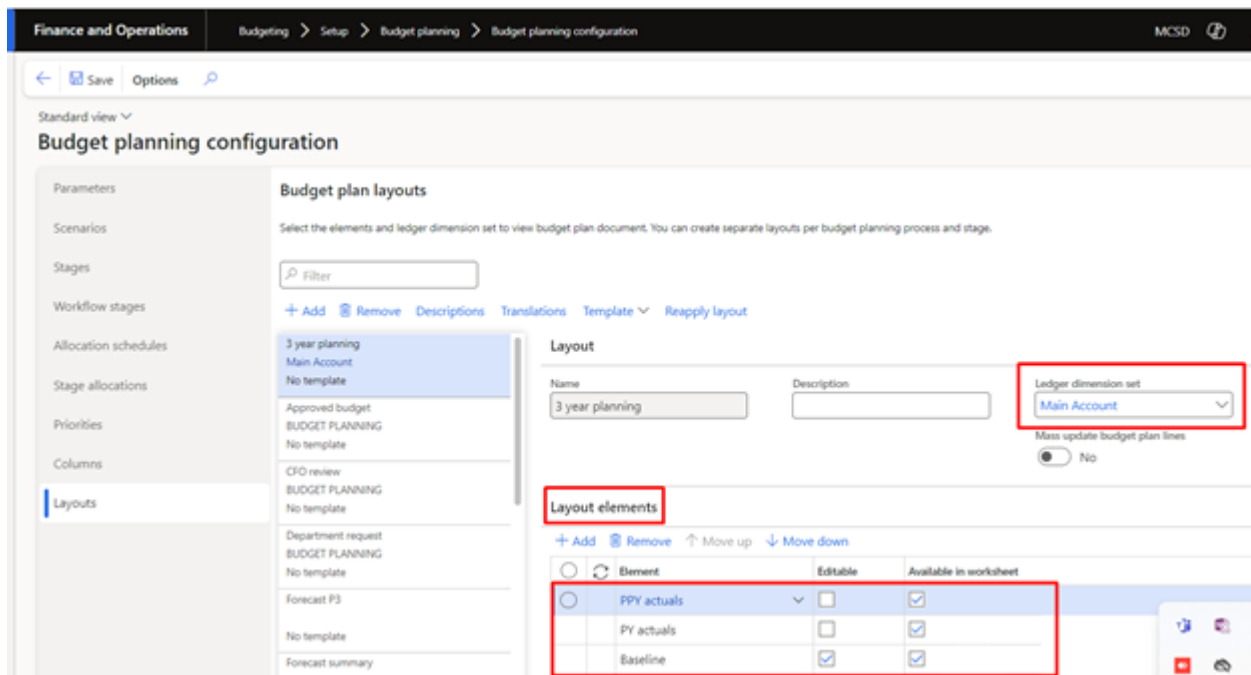
Name: Approved budget Q2 Description:

PARAMETERS

Budget plan scenario: Department approved ▾ Column time period: Quarter ▾ Quarter number: 2

+/- year: 0

Layouts: Layouts are created to define presentation of the columns. We give the Budget Dimension set, then in Layout elements we define presentation of columns (e.g Top to bottom)



Budget planning configuration

Budget plan layouts

Select the elements and ledger dimension set to view budget plan document. You can create separate layouts per budget planning process and stage.

Layout

Name: 3 year planning

Description:

Ledger dimension set: Main Account

Mass update budget plan lines: No

Layout elements

Element	Editable	Available in worksheet
PPY actuals	☐	☒
PY actuals	☐	☒
Baseline	☒	☒

Budget Planning Process in D365 F&O A budget planning process is essentially a set of rules that governs how budget plans are updated, routed, reviewed, and approved within the organization hierarchy.

To configure: **Budgeting → Setup → Budget Planning → Budget Planning Process → New**

- Provide a **Name** and **Description**
- Select the **Budget Cycle** and **Ledger (Legal Entity)**
- Define the **Account Structure**
- Link the **Organization Hierarchy** created earlier
- Assign workflows to the **Responsibility Centers** defined in that hierarchy

This setup ensures that your budgeting activities follow a structured, rule-based process from initiation to approval.

Responsibility center	Responsibility center type	Budget planning workflow	Workflow ID
Finance	Department	Department workflow	000499
IT Department	Department	Department workflow	000499
Morouj Commodities Ltd	Legal entity	Total Budget	000474
Production	Department	Department workflow	000499
SCM	Department	Department workflow	000499
Admin	Department	Department workflow	000499

The fast tab of Budget planning stage rules and layouts is used to assign the Layout we created (above in this blog) to the Budget planning stages and control editing access of the Budget Plan. Stages assigned to workflow are auto fetched and here we only assign Layout to the stage.

Once Budget planning process is created, click on Action and Activate it

Budget planning process administration

Organization hierarchy
Hierarchy for BP

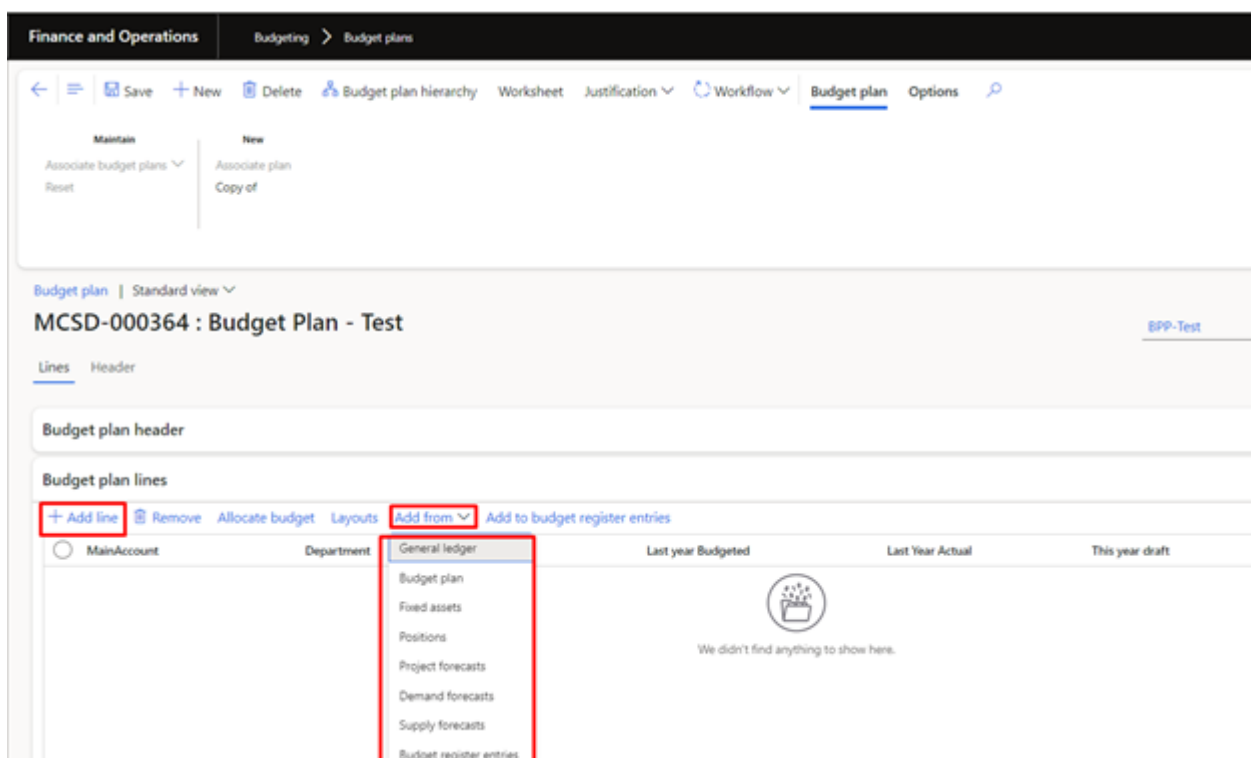
Assign workflow

Now the setup level things are created, now we will move towards system walkthrough of how Budget Plans are created and executed into the system.

System Demo:

Go to Budgeting> Budget Plan> New. Give Budget plan name, Budget Planning Process and rest of the information will be auto fetched

The Budget plan will be created. You can add lines manually and from different sources shown in image below.



The screenshot shows the 'Budget plan lines' section in the Microsoft Dynamics 365 Budgeting interface. The 'Add from' dropdown menu is open, showing options like General ledger, Budget plan, Fixed assets, Positions, Project forecasts, Demand forecasts, Supply forecasts, and Budget register entries. The 'Add line' button is highlighted with a red box. The 'MainAccount' column is selected, and the 'Department' column is also visible. The 'Last year Budgeted' column shows a message: 'We didn't find anything to show here.'

For now, I am adding lines from General Ledger. Selecting Fiscal year, From/To period and Account type and relevant information and click generate

Standard view 

Generate budget plan from general ledger

In this form, you can select the historical budget data to use in the budget planning process. First, select whether to create a new budget, or to replace or update an existing budget. Then select the source data from. Or click the Filter button to define other specific criteria for the data.

Action: Replace the existing budget plan Aggregate total by: Fiscal year

Source

Filter

Ledger

MCS

Fiscal year

2024

From period

Period 9

To period

Period 9

Include closing transactions

☒ No

ACCOUNT TYPE

☐ Account type

Total

Equity

Liability

Asset

Balance sheet

☒ Expense

Revenue

Profit and loss

SELECTION CRITERIA

GENERAL JOURNAL ACCOUNT ENTRY

Ledger account (Record-ID)

MAIN ACCOUNT CATEGORIES

Main account category

Target

Demo Setup: Drafting Budget Amounts For demonstration purposes, I've included only two dimensions in the budgeting process: **Main Account** and **Department**. At this stage, we'll enter draft budget amounts against these accounts and dimensions, and then route them to the respective department by submitting them into the workflow.

[illegible]

After submission, system will auto create child budget plans and only relevant department would be able to

see their related budget.

Finance and Operations | Budgeting > Budget plans

← + New Delete Budget plan hierarchy Worksheet Justification Workflow Budget plan Options

Maintain Associate budget plans Reset
New Associate plan Copy of

Budget plan
My view *

Filter

Document number	Budget plan name	Budget planning process	Budget planning stage	Budget plan preparer	Assigned to
MCSD-000370	Plan for Admin	BPP-Test	Department review	Einas Abdelsattar Elmubarak	Multiple users
MCSD-000369	Plan for SCM	BPP-Test	Department review	Abdul Basit	Multiple users
MCSD-000368	Plan for Production	BPP-Test	Department review	Noor	Multiple users
MCSD-000367	Plan for IT Department	BPP-Test	Department review	Tim Utton	Multiple users
MCSD-000366	Plan for Finance	BPP-Test	Department review	Rana Abuelgasim Ahmed Y...	Multiple users
MCSD-000364	Budget Plan - Test	BPP-Test	Aggregate	Ammar Ali	Multiple users

User will select its relevant budget plan and Accept it.

Finance and Operations | Budgeting > Budget plans

← + New Delete Budget plan hierarchy Worksheet Justification Workflow Budget plan Options

Maintain Associate budget plans Reset
New Associate plan Copy of

Workflow
Choose Accept to assume ownership of this work item. You can then select one of the available actions.
Accept Recall More

Budget plan
My view *

Filter

Document number	Budget plan name	Budget planning process	Budget planning stage	Budget plan preparer	Assigned to
MCSD-000370	Plan for Admin	BPP-Test	Department review	Einas Abdelsattar Elmubarak	Multiple users
MCSD-000369	Plan for SCM	BPP-Test	Department review	Abdul Basit	Multiple users
MCSD-000368	Plan for Production	BPP-Test	Department review	Noor	Multiple users
MCSD-000367	Plan for IT Department	BPP-Test	Department review	Tim Utton	Multiple users
MCSD-000366	Plan for Finance	BPP-Test	Department review	Rana Abuelgasim Ahmed Y...	Multiple users
MCSD-000364	Budget Plan - Test	BPP-Test	Aggregate	Ammar Ali	Multiple users

After Acceptance, user can make changes to draft budgeted amount and can propose other budgeted amounts in the “This year requested Column”. Note that the Columns visible in image below are create in Budget Planning Configuration.

Afterward, complete the workflow. This will route the Amount of Child Budget Plan from relevant department to the Parent Budget

Finance and Operations | Budgeting > Budget plans

Workflow | Budget plan | Options

Workflow
Please Approve my budget plan.
Complete Reject More

Budget plan
Standard view
MCSD-000366 : Plan for Finance
BPP-Test

Budget plan lines

MainAccount	Department	This year draft	This year requested
610104001	024	100,000.00	105,000.00
610104005	024	90,000.00	114,000.00
610104007	024	900,000.00	888,000.00

The initiator of the Parent Budget will first accept and then complete the workflow.

Finance and Operations | Budgeting > Budget plans

Workflow | Budget plan | Options

Workflow
Morouj Commodities Ltd
Approve Reject More

Budget plan
Standard view
MCSD-000364 : Budget Plan - Test
BPP-Test

Budget plan header

Budget plan lines

MainAccount	Department	This year draft	This year requested	This year Approved
610104002	023	150,000.00	0.00	0.00
610104001	024	100,000.00	100,000.00	100,000.00
610104005	024	90,000.00	90,000.00	90,000.00
610104007	024	900,000.00	900,000.00	900,000.00
640202007	025	1,000.00	1,000.00	1,000.00

Now the Budget Plan is approved and we can create Budget Register Entries form this Approved Budget Plan

Finance and Operations | Budgeting > Budget plans

← ≡ + New Delete Budget plan hierarchy Worksheet Justification Workflow Budget plan Options

Maintain | **New**

Associate budget plans ▼
Reset

Associate plan
Copy of

Budget plan | Standard view ▼

MCSD-000364 : Budget Plan - Test BPP-Test

Lines | Header

Parent budget plan	Assigned to	Budget planning stage <i>Approved</i>	Rank 0	Workflow status Approved
				In use by user
				In use ☒ No

Budget plan lines

+ Add line Remove Allocate budget Layouts Add from ▼ **Add to budget register entries**

MainAccount	Department	This year draft	This year requested	This year Approved
610104007	022	1,200,000.00	0.00	0.00
610201007	022	80,000.00	0.00	0.00

Select the Budget Plan scenario, Budget Model, and Budget Code, then click *Generate*. The system will create the corresponding Budget Register entries.

Standard view ▼

Generate budget register entry

In this form, you can select the budget plan and scenario to use in the budget register entry generation task. Select the budget planning process, responsibility center, preparer, budget plan and scenario from which budget register account entries are generated. Or use the Filter button to define other specific criteria for the data.

Source

Filter

Ledger
MCSD

Budget plan scenario
06-This year approved

SELECTION CRITERIA

BUDGET PLAN LINES

Budget class

Target

Default date
11/12/2024

Budget code
Original

Reason code

Aggregate lines
☒ No

Budget model
BM2024

Budget type
Original budget

Reason comment

GENERATION RULES

Factor
1.00

Rounding rule
0.00

Run in the background

Generate Cancel

Go to Budgeting> Budget Register Entries and below is the Budget Register entries are Auto created from Budget Plan

Finance and Operations | Budgeting > Budget register entries

← Edit + New Delete Open in Excel Workflow Update budget balances Transfer balances Set up Options

Personalize
Always open for editing
Personalize this page
Add to workspace

Page options
Security diagnostics
Advanced filter or sort
Record info
Go to

Share
Get a link
Create a custom alert
Manage my alerts

Power Automate
See your flows
Create a flow

Budget register entry | Standard view
MCSD-000087

Lines Header

11/12/2024 BM2024 Reason code No Budget register entry 1
Source document Budget code Original Draft

Budget account entries

+ Add line Remove Workflow Enter recurrence Allocate across periods Allocate to dimensions Related information

Budget check res...	Date	Account structure	Dimension values	Amount	Amount type	Currency	Comment
	1/1/2025	Morouj P&L	610104001-024	100,000.00	Expense	SDG	
	1/1/2025	Morouj P&L	610104005-024	90,000.00	Expense	SDG	
	1/1/2025	Morouj P&L	610104007-024	900,000.00	Expense	SDG	

This completes the overview of Budget Planning in Microsoft Dynamics 365 Finance & Operations. The process has been outlined in straightforward terms, making it easier to understand. With a foundation in basic budgeting within D365, configuring Budget Planning can be accomplished effectively by following the steps